Solution

Comparative income statement of Tharun Co. Ltd
for the years ended 31st March, 2017 and 31st March, 2018

Particulars	2016-17	2017-18	Absolute amount of increase (+) or decrease (–)	Percentage increase (+) or decrease (–)
	₹	₹	₹	
Revenue from operations	2,00,000	2,50,000	+50,000	+25
Add: Other income	50,000	40,000	–10,000	–20
Total revenue	2,50,000	2,90,000	+40,000	+16
Less: Expenses	1,50,000	1,20,000	–30,000	–20
Profit before tax	1,00,000	1,70,000	+70,000	+70

Tutorial note: Computation of percentage increase for revenue from operations

$$\frac{\text{Absolute amount of increase or decrease}}{\text{Year 1 amount}} \times 100 = \frac{50,000}{2,00,000} \times 100 = 25\%$$

Student activity 8.2

While comparing the current year's income statement with that of the previous year, it is found that profit before tax has increased by 70%. Think of any three possible reasons for this increase.

Illustration 2

From the following particulars, prepare comparative income statement of Abdul Co. Ltd.

Particulars	2015-16 ₹	2016-17 ₹
Revenue from operations	3,00,000	3,60,000
Other income	1,00,000	60,000
Expenses	2,00,000	1,80,000
Income tax	30%	30%

Solution

Comparative income statement of Abdul Co. Ltd for the years ended
31st March, 2016 and 31st March, 2017

Particulars	2015-16	2016-17	Absolute amount of increase (+) or decrease (–)	Percentage increase (+) or decrease (–)
	₹	₹	₹	
Revenue from operations	3,00,000	3,60,000	+60,000	+20
Add: Other income	1,00,000	60,000	–40,000	–40
Total revenue	4,00,000	4,20,000	+20,000	+5
Less: Expenses	2,00,000	1,80,000	–20,000	–10
Profit before tax	2,00,000	2,40,000	+40,000	+20
Less: Tax (30%)	60,000	72,000	+12,000	+20
Profit after tax	1,40,000	1,68,000	+28,000	+20

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